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# Role of Microfinance and Role of Women in Poverty Reduction through Self-Help Groups in Guntur District of Andhra Pradesh

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**Abstract:** *In India, the history of microfinance dates back to establishment of Syndicate Bank in 1921 in private sector. During the early years, Syndicate Bank concentrated on raising micro deposits in the form of daily/weekly basis and sanctioned micro loans to its clients for shorter period of time. But microfinance came to limelight only when Dr Yunus gave it a mass movement in Grameen Bank experiment. Microfinance can be called a novel approach to provide saving and investment facility to the poor around world. Improved access and efficient provision of savings, credit, and insurance facilities in particular can enable the poor to smoothen their consumption, manage their risks better, gradually build their asset base, develop their business, enhance their income earning capacity, and enjoy an improved quality of life. In India, microfinance mainly operates through Self Help Group (SHGs), Non Government Organizations(NGOs), and Credit Agencies. It provides poor people with the means to find their own way out of poverty. It put the power squarely in their hands, giving them a larger stake in their own success than one –time donation of food, goods, or cash. The initiatives of Government for poverty alleviation could not succeed to the desired level, may be due to the fact that they do not take cognizance of power of the poor to deal with their own problems. Women who form half of the population and constitute substantial productive and economic resources in our country have been the silent sufferers of this inadequate attention. Overwhelming prove is available to emphasize these rural development strategies that fail to take note of the potential of the women and to make provision of such potentiality to be utilized will not have higher rate of sustainability. It is said that women are also more efficient converters of the resources into income creation, productive purpose and household development. The SHGs have the potential to empower women through socio-economic changes material gain secured through excel to credit and better bargaining power and social changes brought about through group dynamics on sustainable basis. This paper mainly analyses the role of women in rural poverty reduction and how the participation of women in sociological and economical point of view. For the purpose of research around 82 samples were collected randomly from the respondents.*

**Keywords:** Microfinance, bargaining power, development strategies, potentiality, and poverty

## Introduction

The Self-help group programme was started as a pilot project in 50 blocks around the country. Women who were not in a position to take advantage of schemes under the Integrated Rural Development Programme (IRDP) organized into homogeneous groups around 15 to 20. Each such group was provided training in a chosen economic activity along with necessary infrastructure. Such activities included home weaving, fish vending, broom and rope making, brick making and pickle making. Women Self-help groups have often been considered as a strategic way to organize the poor women into homogenous groups and make way for canalizing services like microfinance, and micro insurance with necessary linkages to technology, market support and other needed inputs. Training was also given in candle making and in bread making. The scheme has proved quite popular. Over 1900 groups were formed and trained, benefiting about 30,000 women during the two-year period, 1983-85 (Planning Commission, 1985, Seventh Five Year Plan) A new scheme called Swarnajayanti Gram Swarozgar Yojana (SGSY) was launched by merging of the Integrated Rural Development Program, Training for Rural Youth under Self Employment (TRYSEM), Development of Women and Children in Rural Areas (DWCRA) and DWCRA was replaced by self-help groups. The SGSY was entrusted with the task of creating self-employment opportunities to the rural poor. Ever since the programme was launched, it became one of the most successful programs since Independence. Millions of women engaged with this programme and got the benefit of financial support from banks, with reasonable interest rates. By 2009- 2010, the total number of Groups reached a staggering figure of 69.53 lakhs, with an enrolment of 97 million members (NABARD, 2011).

The women live in unacceptable conditions of poverty, majority in the developing countries. Poverty has various causes including structural, under employment, unemployment, inequalities in assets and income distribution, inflation, failure of five year plans, dogmatic and fatalistic attitude is also responsible for Poverty. It is a complex, multidimensional problem, with origins both in national and international domains. The Green Revolution and new economic policies increase the income and production in one side and increase the poverty and income inequalities in the country. The world's economy has interdependence among nation's present challenges and opportunities for sustained economic growth and development, as well as risks and uncertainties for the future.

India is a multifaceted society where no generalization could apply to the nation's various regional, religious, socio-economic groups. Nevertheless certain broad circumstances in which Indian women live affect the way they participate in the economy. A common denominator in their lives is that they are generally confined to home, with restricted mobility and in seclusion. Other, unwritten, hierarchical practices place further constraints on women. Throughout the history, women have generally been restricted to the role of a home-keeper because of they have rituals and traditions; that of a mother and wife. Despite major changes that have occurred in the status of women in some parts of the world in recent decades, norms that restrict women to the home are still powerful in India, defining activities that are deemed appropriate for women. They are, by and large, excluded from political life, which by its very nature takes place in a public forum. Economically Limited access to cash and credit limited access to employment in formal and informal sector. As a result the cultural and economic factors, women face discrimination right from the childhood.

## Objectives

The objectives of the study are as follows:

1. To estimate the socio economic profile and poverty levels at all India and state level with special reference to women.

2. To identify the nature of relationship between poverty, Self Help Groups and development.

3. To suggest ways to reorient SHG programme to be more effective instrument for poverty alleviation.

4 .To examine the role of micro finance in poverty alleviation**.**

## Need for the Study

There is an increasing recognition for the development of women particularly in rural areas. They are faced the problem of discrimination by their family members, gender, poverty, lack of nutritional food, health, educational facilities and

minimum needs facilities. The women centered development programmes can not only ensure the empowerment of women but can also hope for the successful and sustained implementation of programmes concerning family welfare, education, nutrition, health, environment, etc., Hence, a concept like Self-Help Groups gives potential rural women development in general and empowerment of women in particular. So there is need to study the empowerment of women.

## Data and Methodology

The relevant data were collected from primary and secondary sources. The primary data collected from nidubrolu in Guntur district. This survey has purposively taken with 82 samples that are randomly selected with percentage based on religion wise classification, educational levels, income levels and social status of the respondents. The data was prepared to check the reality at the grass root level and an interview schedule was admired to collect the data from the sample. The secondary data regarding the growth of SHGs in India, in Andhra Pradesh were collected from different published journals, records which include Reports of the Government of India.

**Table 1: Religion and caste of Sample Respondents**

| S.no | Religion | ST | | SC | | BC | | Others | | Total | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | | No | % | No | % | No | % | No | % | No | % |
| 1 | **Hindu** | 10 | 71.42 | 5 | 29.41 | 22 | 78.57 | 12 | 52.17 | 49 | 59.75 |
| 2 | **Muslim** | 0 | 0 | 0 | 0 | 0 | 0 | 8 | 34.78 | 8 | 9.75 |
| 3 | **Christian** | 4 | 28.57 | 12 | 70.58 | 6 | 21.42 | 3 | 13.04 | 25 | 30.48 |
| 4 | **Total** | 14 | 100 | 17 | 100 | 28 | 100 | 23 | 100 | 82 | 100 |

**Source**: Field Data

Table-1 provides clear picture about the religion and caste wise analysis of the respondents. The majority of the sample respondents are 59.75 percent of Hindus in the study area. Among the data 71.42 per cent of Scheduled Tribes women, 29.41 percent of Scheduled Castes, 78.57 percent Backward Class and 52.17 percent of other classes are Hindus. Among others 9.75 per cent of women are Muslims. In other social categories we don't find any Muslim respondent. Christian religion is 30.48 percent. Among others 13.08 per cent are also Christians. Nearly 21.42 percent of Backward Class respondents and 70.58 percent of Scheduled castes and 28.57 scheduled tribe respondents are also belonging to Christianity.

**Table 2: Education of Respondents**

| s.no | Educational status | ST | | SC | | BC | | OTHERS | | TOTAL | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | | No | % | No | % | No | % | No | % | No | % |
| 1 | **Illiterates** | 10 | 71.42 | 6 | 35.29 | 12 | 42.85 | 3 | 13.04 | 31 | 37.80 |
| 2 | **Primary level(1-5)** | 2 | 14.28 | 4 | 23.52 | 6 | 21.42 | 6 | 26.08 | 18 | 21.95 |
| 3 | **High school level(6-10)** | 2 | 14.28 | 6 | 35.29 | 4 | 14.28 | 8 | 34.75 | 20 | 24.39 |
| 4 | **Intermediate level** | - | - | 1 | 5.88 | 3 | 10.71 | 4 | 17.39 | 8 | 9.75 |
| 5 | **Higher education** | - | - | - | - | 3 | 10.71 | 2 | 8.69 | 5 | 6.09 |
| 6 | **Total** | 14 | 100 | 17 | 100 | 28 | 100 | 23 | 100 | 82 | 100 |

**Source**: Field Data

Table-2 shows that the educational status of respondents. In this table 71.42 percent of illiterates from scheduled tribes, 35.29 percent of scheduled castes, 42.85 percent Backward Class and 13.04 percent other class women are illiterates. In the primary level 14.28 percent of scheduled tribes, 23.52 percent of scheduled castes, 21.42 percent of Backward Class and 21.95 percent of other class women are primary level educated. In the upper primary and high school level 14.28 percent of scheduled tribes, 35.29 percent of scheduled castes, 14.28 percent of Backward Class and 34.75 percent of other class women are upper primary level educated. Large number of intermediate and higher educated women are from backward castes and other class and there are no women in higher education.

**Table 3: Land holdings of Sample Women Households**

| S.NO. | Land holding size | ST | | SC | | BC | | Others | | total | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | | No | % | No | % | No | % | No | % | No | % |
| 1 | **Landless** | 12 | 85.71 | 8 | 47.05 | 4 | 14.28 | 2 | 8.69 | 26 | 31.70 |
| 2 | **Marginal(<2.5 acres)** | 2 | 14.28 | 4 | 23.52 | 8 | 28.57 | 6 | 26.08 | 20 | 24.39 |
| 3 | **Small (2.5-5)** | - | - | 2 | 11.76 | 10 | 35.71 | 10 | 43.47 | 24 | 29.26 |
| 4 | **Medium (5-10 acres)** | - | - | 3 | 17.64 | 4 | 14.28 | 3 | 13.04 | 10 | 12.19 |
| 5 | **Large (above 10)** | - | - | - | - | 2 | 7.14 | 2 | 8.69 | 2 | 2.43 |
| 6 | **Total** | 14 | 100 | 17 | 100 | 28 | 100 | 23 | 100 | 82 | 100 |

**Source**: Field Data

Table-3 provides clear picture about the landholdings of the respondents. Land less womens are high among STs Nearly 85.71 percent and They are followed by SC, BC and others with 47.05 percent, 14.28 per cent and 8.69 per cent respectively. With regard to marginal land holdings BC households tops the list with 28.57 percent followed by SC and ST households with 23.52 per cent and 14.28 percent respectively. Regard to small landholdings no ST, 11.76 of SC households, 35.71 percent of BC and 43.47 percent and overall average of small holdings is 29.26 percent respectively. In the medium and large size land holdings only in the hands of other classes and backward classes only.

**Table 4: Type of House**

| S.No | Type of house | ST | | SC | | BC | | Others | | Total | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | | No | % | No | % | No | % | No | % | No | % |
| 1 | **Hut** | 4 | 28.57 | 4 | 23.52 | 1 | 3.57 | - | - | 9 | 10.97 |
| 2 | **Thatched house** | 3 | 21.42 | 2 | 11.76 | 4 | 14.28 | 3 | 13.04 | 12 | 14.63 |
| 3 | **Tiled house** | 6 | 42.85 | 2 | 11.76 | 3 | 10.71 | 6 | 26.08 | 17 | 20.73 |
| 4 | **Pucca house** | 1 | 7.14 | 8 | 47.05 | 20 | 71.42 | 14 | 60.86 | 43 | 52.43 |
| 5 | **Total** | 14 | 100 | 17 | 100 | 28 | 100 | 23 | 100 | 82 | 100 |

**Source**: Field Data

The type of house in which a family is living indicates the socio-economic position of the household in a particular village. It is welcome, move to note that majority of the sample respondents are living in safe dwellings (Pucca). 60.86 percent of non-reserved social categories of respondents are living in pucca houses. Covering 71.42 per cent of BC and 47.05 per cent SC and 7.14 ST respondents have pucca houses. With regard to tiled house ST respondents stood at the top of ladder with 42.85 per cent and respectively. Again, in case of thatched houses as well as huts the STs top the list with 21.42 per cent. In case of thatched houses the second place are occupied by SC respondents with 11.76 per cent. Regard to huts the second and third places are occupied by SC and BC 23.52 respondents with 3.57 per cent and no huts in non-reserved category.

**Table 5: Annual family income wise distribution of the sample respondents**

| S. No | Annual Income | ST | | SC | | BC | | Others | | Total | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | | No | % | No | % | No | % | No | % | No | % |
| 1 | **Upto-25,000** | 12 | 85.71 | 6 | 35.29 | 2 | 7.14 | - | - | 20 | 24.39 |
| 2 | **25-35,000** | 1 | 7.14 | 2 | 11.76 | 6 | 21.42 | 8 | 34.78 | 17 | 20.73 |
| 3 | **35-5000** | 1 | 7.14 | 3 | 17.64 | 9 | 32.14 | 6 | 26.08 | 19 | 23.17 |
| 4 | **Above-50,000** | - | - | 6 | 35.29 | 11 | 39.28 | 9 | 39.13 | 26 | 31.70 |
| 5 | **Total** | 14 | 100 | 17 | 100 | 28 | 100 | 23 | 100 | 82 | 100 |

**Source**: Field Data

It is clear that from table-5 that the annual income of respondents is below Rs.25, 000 in all social categories except non-reserved category respondents. Nearly 85.71 percent of ST respondent household income is below Rs.25, 000 and they are followed by SC and BC sample households with 35.29 per cent and 7.14 per cent respectively. With regard to Rs.25, 000 to Rs.35, 000 incomes group other category of respondent households top the list with 34.78 per cent and followed by BC

households 21.42 per cent. Again in case of Rs.35, 000 to Rs.50, 000 income group and Rs.50, 000 and above income group BC and non-reserved category respondent households top the list with 39.28 percent and 39.13 percent respectively. With regard to Rs.35, 000 to Rs.50, 000 income group SC, ST households occupies third and fourth places respectively. They in turn followed by BC and ST households with 8.66 percent and 6.98 per cent respectively. On the whole, the annual family income of 24.39 per cent of households is up to Rs.25, 000. About 20.73 percent households' income ranges between Rs.25, 000 to Rs.35, 000 and 23.17 percent households' income is Rs.35, 000 to Rs.50, 000 respectively.

**Table 6: Income Generation**

| S. No | Amount of change | ST | | SC | | BC | | Others | | Total | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | | No | % | No | % | No | % | No | % | No | % |
| 1 | No change | 0 | 0.0 | 2 | 11.76 | 3 | 10.71 | 5 | 21.73 | 10 | 12.19 |
| 2 | Little change | 4 | 28.57 | 9 | 52.94 | 12 | 42.85 | 9 | 39.13 | 34 | 41.46 |
| 3 | Moderate change | 8 | 57.14 | 2 | 11.76 | 6 | 21.42 | 5 | 21.73 | 21 | 25.60 |
| 4 | Significant change | 2 | 14.28 | 3 | 17.64 | 4 | 14.28 | 2 | 8.69 | 11 | 13.41 |
| 5 | Change for worse | 0 | 0.0 | 1 | 5.88 | 3 | 10.71 | 2 | 8.69 | 5 | 6.09 |
| 6 | Total | 14 | 100 | 17 | 100 | 28 | 100 | 23 | 100 | 82 | 100 |

**Source**: Field data

The primary objective behind the formation of Self Help Groups is to generate income for poor women in rural areas. Amount of Change in income Levels, It is clear from table-6 that the large number of respondents expressed that there is some change in their income levels after their joining SHGs. With regard to no change OC women stood at the top of the ladder with 21.73 per cent. They are followed by SC women and BC women with 11.76 per cent and 10.71 percent. None of the ST women reported any change. With regard to little change SC women tops the list with 52.94 percent. Little change as reported by BC, OC and ST women sharply declined to 42.85 per cent 39.13 per cent and 28.57 per cent respectively. Moderate change was reported by 57.14 per cent of ST women and they stood at top of the list. They are followed by OC, BC and SC women with 21.73 per cent, 21.42 per cent and 11.76 per cent respectively. With regard to significant change SC women are ahead with 17.64 per cent followed by ST, BC and OC women with 14.28 per cent, 14.28 per cent and 8.69 per cent respectively. About 6.09 percent expressed change for worse.

**Table 7: Impact on Social Status**

| S. No | Amount of change | ST | | SC | | BC | | Others | | Total | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | | No | % | No | % | No | % | No | % | No | % |
| 1 | No change | 2 | 14.28 | 3 | 17.64 | 8 | 28.57 | 10 | 43.47 | 23 | 28.04 |
| 2 | Little change | 6 | 42.85 | 5 | 29.41 | 14 | 50 | 7 | 30.43 | 32 | 39.02 |
| 3 | Moderate change | 4 | 28.57 | 6 | 47.05 | 2 | 7.14 | 3 | 13.04 | 15 | 18.29 |
| 4 | Significant change | 2 | 14.28 | 2 | 11.76 | 1 | 3.57 | 2 | 8.69 | 8 | 9.75 |
| 5 | Change for worse | 0 | 00 | 1 | 5.88 | 3 | 10.71 | 1 | 4.34 | 4 | 4.87 |
| 6 | Total | 14 | 100 | 17 | 100 | 28 | 100 | 23 | 100 | 82 | 100 |

**Source**: Field data

It can be inferred from table-7 that highest percentage of all social categories of women expressed little change in their social status with some variations. Among them BC women are ahead with 50 per cent While ST, OC and SC women with 42.85 per cent, 30.43 per cent and 29.41 per cent respectively. In the second place large number of women reported no change. In this regard OC women top the list with 43.47 per cent. Whereas BC, SC and ST women are with 28.57 percent, 17.64 per cent and 14.28 percent respectively. With regard to significant change ST women are ahead with 14.28 percent followed by SC, OC and BC women with 11.76 per cent8.69 percent and 3.57 per cent respectively. On the whole, nearly 39 percent of the sample respondents reported little change. Among them 28.09 percent expressed little change, 18.29 per cent reported moderate changes and 9.75 percent reported significant change. The remaining 4.87 percent expressed change for worse.

## Findings

Self-Help Groups (SHGs) are powerful tool of socio-economic empowerment of the women in rural areas. The self-help group is a small body formed by the people, for meeting their specific objectives, particularly to meet the credit requirements and infrastructure facilities. The self-help groups have been developed for a wide range of population, including the mentally ill and their families. There is no expected social and economic change in scheduled caste and scheduled tribes. A glut of low-skilled services is an unwelcome substitute for scarcity of credit. As microcredit alleviates the credit availability problem, the need for micro-consulting, business planning and services like marketing, are being felt with greater acuteness. In some sense, its role is similar to that of credit in the general economy. The most crucial aspect of the SHG movement is to create a sustainable income generation activity for SHG members. At present, these activities only supplement their family income and increase the social status of the rural women.

## Suggestions and conclusion

The SHG have definitely been significant changes in recent years and the concept and practice of SHG-based micro finance has now, it developed deep roots in many parts of the country. To strengthen SHG movement, the following recommendations have been suggested. SHG concept should target the all-round development of women members. The recent scenario suggests that the focus lie empathetically with economic empowerment. In addition, life and developmental issues related to the quality of life of the poor needs immediate attention. Therefore, programmes targeting holistic development should be conceptualized and even the existing programmes may be oriented towards this. Among the poor, the credit utilization is invariably from consumption to production process. Hence the consumption needs cannot be ignored and adequate provision should be made in the scheme for this. Subsidy element for development purpose for SHG members is an important policy issue, which needs thorough analysis. Emphasis on financing of groups under SGSY needs to be moderated The quantum and timing of subsidy needs to be reviewed keeping in view the resource handling capabilities of the members and the group. Development institutions assisting SHGs to set up income generation projects have to be innovative, and flexible in conceiving the projects Development institutions assisting SHGs to set up income generation projects have to be innovative, and flexible for all rural poor in conceiving the projects. Development administration has a great responsibility to build synergy between various departments for convergence. All SHG women should be made able to read and write, by taking them on exposure visits outside their village, town, district and the state.

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